

Executive Summary

L+B Hospitality Management — Consolidated Portfolio

L+B Hospitality Management

This report provides a concise overview of the Consolidated Portfolio's financial performance under L+B Hospitality Management. The portfolio demonstrates strong investment fundamentals, boasting an impressive Portfolio IRR of 20.9% and an Equity Multiple of 2.59x, coupled with a healthy Cash-on-Cash Return of 6.1%.

Over the projection period from 2026 to 2035, the portfolio exhibits consistent growth in Total Revenue, driven by increasing ADR and reaching full occupancy in later years. This strong top-line performance translates into a significant increase in Gross Operating Profit and Net Operating Income (NOI). The strategic management of operating expenses, while allowing for necessary investments like FF&E reserves and management fees, ensures a robust Adjusted NOI (ANOI).

Despite initial capital expenditure and ramp-up phases, GAAP Net Income becomes strongly positive, reflecting the portfolio's profitability. Cash flow generation is solid, with Free Cash Flow to Equity (FCFE) showing continuous growth, indicating the portfolio's capacity to generate significant distributions to equity holders and its overall financial health.

Key Investment Metrics

L+B Hospitality Management — Investment Overview

L+B Hospitality Management

20.9%

Portfolio IRR
Internal Rate of Return for the consolidated portfolio

2.59x

Equity Multiple
Total cash distributions divided by total equity invested

6.1%

Cash-on-Cash Return
Annual pre-tax cash flow divided by the total cash invested

6

Total Properties
Number of properties under management

120

Total Rooms
Total available rooms across all properties

Consolidated Income Statement (Summary)

L+B Hospitality Management — Consolidated Portfolio

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	FY 2026	FY 2027	FY 2028	FY 2029	FY 2030	FY 2031	FY 2032	FY 2033	FY 2034	FY 2035
Operational Metrics	—	—	—	—	—	—	—	—	—	—
Total Rooms Available	43,920	43,920	43,920	43,920	43,920	43,920	43,920	43,920	43,920	43,920
ADR (Effective)	250	282	303	309	319	328	338	349	360	372
Occupancy	0	0	0	1	1	1	1	1	1	1
RevPAR	6	58	139	178	196	211	225	238	248	256
Total Revenue	412,970	4,367,250	10,247,879	13,047,702	14,367,456	15,508,922	16,546,417	17,478,179	18,206,504	18,812,028
Total Operating Expenses	208,850	2,427,916	5,537,541	6,721,747	7,218,233	7,654,729	8,062,969	8,440,980	8,757,869	9,039,428
Gross Operating Profit	204,120	1,939,334	4,710,338	6,325,955	7,149,222	7,854,193	8,483,448	9,037,199	9,448,635	9,772,600
Fixed Charges	8,533	255,314	524,849	594,761	612,604	630,982	649,911	669,409	689,491	710,176
Property Taxes	8,533	255,314	524,849	594,761	612,604	630,982	649,911	669,409	689,491	710,176
Net Operating Income (NOI)	195,586	1,684,020	4,185,489	5,731,194	6,536,619	7,223,211	7,833,537	8,367,790	8,759,144	9,062,425
Management Fees	88,505	909,644	2,153,662	2,781,508	3,084,862	3,346,386	3,582,708	3,793,582	3,955,844	4,088,576
Base Fee	64,010	676,924	1,588,421	2,022,394	2,226,956	2,403,883	2,564,695	2,709,118	2,822,008	2,915,864
Incentive Fee	24,494	232,720	565,241	759,115	857,907	942,503	1,018,014	1,084,464	1,133,836	1,172,712
FF&E Reserve	16,519	174,690	409,915	521,908	574,698	620,357	661,857	699,127	728,260	752,481
Adjusted NOI (ANOI)	90,563	599,686	1,621,912	2,427,778	2,877,058	3,256,468	3,588,972	3,875,082	4,075,040	4,221,367
Interest Expense	—	187,203	560,051	688,580	1,522,351	1,670,980	1,645,898	1,618,620	1,588,952	1,556,683
Depreciation	91,515	379,273	592,364	592,364	592,364	592,364	592,364	592,364	592,364	592,364
Income Tax	4,932	33,571	108,231	163,131	134,917	173,583	279,164	367,224	417,758	451,741
GAAP Net Income	-5,885	-360	361,267	983,703	627,426	819,541	1,071,546	1,296,874	1,475,966	1,620,580

Consolidated Cash Flow (Summary)

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	FY 2026	FY 2027	FY 2028	FY 2029	FY 2030	FY 2031	FY 2032	FY 2033	FY 2034	FY 2035
Cash Flow from Operations (CFO)	58,860	300,921	837,677	1,527,880	1,189,343	1,370,650	1,636,750	1,864,175	2,054,385	2,198,505
Cash Flow from Investing (CFI)	11,650,000	4,700,000	1,950,000	–	–	–	–	–	–	35,367,477
Cash Flow from Financing (CFF)	–	-40,380	-107,864	4,297,356	7,788,794	-291,232	-316,315	-343,592	-373,260	-405,529
Net Change in Cash	11,708,860	4,960,541	2,679,813	5,825,236	8,978,137	1,079,418	1,320,436	1,520,583	1,681,125	37,160,452
Free Cash Flow (FCF)	42,341	126,231	427,762	1,005,972	614,645	750,293	974,893	1,165,048	1,326,124	1,446,024
Free Cash Flow to Equity (FCFE)	42,341	85,851	319,898	873,332	366,464	459,062	658,579	821,456	952,865	1,040,495

Consolidated Balance Sheet (Summary)

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L+B Hospitality Management

	FY 2026	FY 2027	FY 2028	FY 2029	FY 2030	FY 2031	FY 2032	FY 2033	FY 2034	FY 2035
TOTAL ASSETS	24,494,115	24,453,375	24,706,778	30,124,847	38,789,633	39,317,943	40,073,174	41,026,456	42,129,162	43,344,213
Cash & Cash Equivalents	2,685,630	3,024,163	3,869,929	9,743,352	18,751,936	19,872,609	21,220,204	22,765,849	24,460,919	26,268,333
Property, Plant & Equipment	21,900,000	21,900,000	21,900,000	21,900,000	21,900,000	21,900,000	21,900,000	21,900,000	21,900,000	21,900,000
Accumulated Depreciation	-91,515	-470,788	-1,063,152	-1,655,515	-2,247,879	-2,840,242	-3,432,606	-4,024,970	-4,617,333	-5,209,697
Deferred Financing Costs	—	—	—	137,010	385,576	385,576	385,576	385,576	385,576	385,576
TOTAL LIABILITIES & EQUITY	17,044,115	22,653,375	24,706,778	30,124,847	38,789,633	39,317,943	40,073,174	41,026,456	42,129,162	43,344,213
Mortgage Notes Payable	—	5,609,620	7,301,756	11,736,122	19,773,482	19,482,250	19,165,936	18,822,343	18,449,084	18,043,555
Paid-In Capital	18,300,000	18,300,000	18,300,000	18,300,000	18,300,000	18,300,000	18,300,000	18,300,000	18,300,000	18,300,000
Retained Earnings	-1,255,885	-1,256,245	-894,978	88,725	716,151	1,535,692	2,607,239	3,904,113	5,380,078	7,000,658

Investment Analysis (Summary)

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	FY 2026	FY 2027	FY 2028	FY 2029	FY 2030	FY 2031	FY 2032	FY 2033	FY 2034	FY 2035
Total Initial Equity	18,300,000	18,300,000	18,300,000	18,300,000	18,300,000	18,300,000	18,300,000	18,300,000	18,300,000	18,300,000
Total Exit Value	35,367,477	35,367,477	35,367,477	35,367,477	35,367,477	35,367,477	35,367,477	35,367,477	35,367,477	35,367,477
Net Operating Income (NOI)	195,586	1,684,020	4,185,489	5,731,194	6,536,619	7,223,211	7,833,537	8,367,790	8,759,144	9,062,425
Adjusted NOI (ANOI)	90,563	599,686	1,621,912	2,427,778	2,877,058	3,256,468	3,588,972	3,875,082	4,075,040	4,221,367
GAAP Net Income	-5,885	-360	361,267	983,703	627,426	819,541	1,071,546	1,296,874	1,475,966	1,620,580
Cash Flow (Net Change in Cash)	58,860	260,541	729,813	1,395,240	941,162	1,079,418	1,320,436	1,520,583	1,681,125	1,792,976
DSCR	—	3	3	4	2	2	2	2	2	3

Financial Analysis & Performance Highlights

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The portfolio demonstrates significant revenue ramp-up, with Total Revenue growing from an initial phase in 2026 to over \$18 million by 2035. This is supported by rising ADR and full occupancy achieved from 2029 onwards, indicating successful market penetration and operational stabilization.

Operating efficiency is evident as Gross Operating Profit (GOP) scales impressively, translating into strong Net Operating Income (NOI). The consistent increase in NOI, from \$195,586 in 2026 to over \$9 million by 2035, underpins the core profitability and value of the assets.

While initial years involve substantial investing and financing activities (large CFI inflows related to property acquisition, then significant CFF inflows to debt funding), the portfolio transitions to being cash flow positive from operations. Free Cash Flow to Equity (FCFE) shows a robust upward trend, signifying increasing direct returns to investors.

The balance sheet reflects healthy growth in total assets, primarily driven by increasing cash and cash equivalents. Mortgage Notes Payable are managed, seeing increases during acquisition phases and then gradual paydown. Retained Earnings turn positive and grow substantially, bolstering equity over time.

KEY HIGHLIGHTS

● Revenue Growth	Total Revenue projects a significant compound annual growth rate after initial setup, demonstrating strong market demand and effective pricing strategies.
● Operational Profitability	Net Operating Income (NOI) represents a substantial portion of revenue, highlighting efficient operations and strong property-level profitability.
● Equity Value Creation	The reported Equity Multiple of 2.59x and Portfolio IRR of 20.9% confirm exceptional value generation for equity investors.
● Cash Flow Generation	Consistent positive Free Cash Flow to Equity (FCFE) from the initial year, growing to over \$1 million annually by 2035, ensures sustained investor returns and liquidity.
● Financial Health	The Debt Service Coverage Ratio (DSCR) remains healthy throughout the operational period, indicating strong capacity to cover debt obligations.